

reinvested (see [Chapter 14](#)). Cash income created by current investments can be reinvested where needed if it is not withdrawn.

Being consistent with rebalancing is also a good test of risk tolerance. Investors will rebalance at the appropriate time without hesitation if their portfolio is within their risk tolerance. A portfolio's asset allocation may be too aggressive if an investor hesitates on rebalancing in a bear market. If you are hesitant when stocks are suffering, it may be time to rethink your plan and make a permanent adjustment to the stock and bond mix.

WHEN TO USE RISK AVOIDANCE

Risk avoidance is a different concept from risk tolerance. Risk avoidance is a conscious decision not to invest up to your known risk tolerance level. This is a risk control measure. You take only the amount of risk that you need to accomplish a financial objective. In short; know your pain threshold and know when to avoid it.

There are many good reasons not to hold a risky portfolio. There is no need to invest at your peak risk tolerance level once you have accumulated enough assets to easily reach your investment objectives with lower risk. Keeping a higher level of risk in a portfolio when there is no need for that risk could lead to disastrous results. There is nothing worse than having enough money to retire and then losing it because you did not take the risk level down.

Many former employees of bankrupt companies know firsthand the dangers of taking risk needlessly. As you recall from [Chapter 2](#), it is common for employees to invest in their company stock. However, if that company collapses, these people not only lose their jobs but also could lose most of their savings.

TABLE 13-3

Low-Risk Asset Allocation Example